

1. Introduction

The Algerian legislature has reinforced the principle of free and fair competition in a 2020 constitutional amendment, which placed significant importance on freedom of initiative to encourage entrepreneurship, reflecting the new trend toward a strong competitive economy. It is noteworthy that the constitutional founder reformulated Article 43 of the 2016 Constitution into Article 61 of the 2020 Constitution, which states that freedom of trade, investment, and entrepreneurship is guaranteed and exercised within the framework of the law. Its purpose is to encourage and motivate economic operators to engage in economic activities with complete freedom and to free the principle of competition from restrictions within the framework of the principles of fair competition. This is to ensure trust between them to achieve common interests and achieve the goal behind this competitive process, which is to earn the greatest possible profit. Competition is based on a set of controls and rules that regulate and govern the relationship between economic agents within the market. Competition is defined as a set of legal rules established by the public authority to regulate economic life with fairness and equality, without the control or monopolization of a strong party over a weaker party. Unfair practices hinder the entry of new competitors into the market, thus limiting the effectiveness of this principle. This opens the door to the spread of chaos in trade and price manipulation, which reduces the improvement in the quality of services and products offered by the market compared to their high prices. Based on the above, we decided to address the issue by posing the following question: What is the importance of establishing the principle of free competition among real estate developers, as a first step towards restoring balance and

stability to the real estate market? What are the legal implications?

To answer this question, we adopted a descriptive approach to address the definitions of some important legal terms in the study, as well as to mention the principles upon which the principle of free competition is based. We used an analytical approach to analyze the results or implications of applying this principle.

Section One: Applying the principle of free competition as a tool to control and regulate the real estate market.

First Section: The Concept and Principles of the Principle of Free Competition

Free competition is the largest contributor to driving and improving production, as well as reducing prices. Therefore, it has been rightly said that eliminating it is tantamount to eliminating intelligence. In this section, we will examine both the definition of the principle of competition (the first section) and its principles (the second section). **Section One: Defining the Principle of Free Competition**

Given this reality, we find that a large number of economists and legal scholars have devoted considerable attention to the topic of competition and its effects on the market.

First: The Linguistic and Terminological Definition

Competition, in the language of language, is an innate tendency that calls for exerting effort to excel. People compete in something: they race and compete in it without harming each other. The Noble Qur'an states: "And for this let the competitors compete." [This is a verse that is, for this let those who desire it desire it.] From a terminological perspective, there are numerous contradictions among economists and legal scholars regarding the

definition of competition, which sometimes reaches a level of complexity.

Beyond these contradictions, our primary concern is examining the legal definition of competition. By referring to comparative laws, we find that almost all of them do not include a specific definition of the term "competition." However, the French Competition Council has not failed to undertake this task. In a report to the government, the Council provided the following definition of the term: "Competition is a social system in which the decentralized initiative of economic agents is the basis for ensuring the optimal distribution of scarce resources in society." (Al-Moui, 2019, p. 332)

It is an economic game sought by all stakeholders in economic life. The pursuit of profit and economic well-being cannot be imposed without competition with other parties aspiring to achieve the same goal and purpose. Every institution must be able to play its role, regardless of its strengths or weaknesses.

Competition is defined as a method of social organization in which the decentralized initiative of economic agents ensures optimal efficiency in the distribution of scarce resources within the group. Accordingly, competition is not, as some define it, the pursuit of individual self-interest between sellers and buyers of any product or market. Rather, competition is a method of social organization that imposes on economic agents a series of approaches and concepts defined by legal texts about competition. These approaches aim to rationally distribute scarce resources, improve production methods, enhance product quality, and encourage industrial and technological progress. Competition compels every economic agent to make every effort to improve methods and means of reducing the costs of producing products and services to the lowest possible price. Accordingly, competition is considered an integrated

approach and a robust system for achieving economic and social progress. (Arezki, 2011, p. 16)

It seeks to regulate competition and combat all practices that may harm consumers or institutions. (Kato, 2002, p. 59)

Freedom of competition is merely a manifestation of the freedom of trade and industry. Merchants are free to compete with one another, but this freedom has limits. Some consider it to be competition between merchants or industrialists who attempt to attract customers using various means, including quality, reasonable prices, and the location of their stores. These means are mentioned as examples, not exhaustive, in the three points above. (Jadani, 2000-2001, p. 7)

Second - Legal Definition

Competition law is defined as a set of legal rules established by public authorities to regulate economic life among economic operators.

It is defined as a set of rules governing the relationship between economic agents in the same market to reach customers. The French Competition Council defined it as a method of social regulation whereby the initiative of decentralized economic practices ensures optimal efficiency in the allocation of scarce resources within the group.

Competition is a means of social regulation that imposes on economic agents a series of approaches and concepts defined by legal texts on competition. These approaches aim to rationally allocate scarce resources, improve production methods, increase product quality, and encourage industrial and technological progress. Competition compels every economist to strive to find methods and means that reduce production costs and services to the lowest possible level. Competition is an integrated approach and a robust system for achieving economic and social advancement.

As for the Algerian legislator, he described the Competition Law in Article 1 of Decree No. 03-03(Ordre 03-03, 2003) on Competition as: "The set of legal rules aimed at protecting competition in the market to achieve economic efficiency and improve the living standards of consumers."

He also defined the scope and limits of application of the Competition Law, Decree No. 03-03, under Article 2 thereof, which consists of monitoring production, distribution, and service activities, including those carried out by public entities, if they do not fall within the scope of the powers of the public authority or the performance of the duties of the public service. This means that he defined the law in terms of the nature of the economic activity, the individuals, and the geographical boundaries of the market.(Boukhamis, 2015, p. 3)

Section Two: Its Principles

First - The Principle of Freedom of Trade and Industry

Recognizing the principle of freedom of trade and industry is one of the fundamental components of any liberal economic system based on the withdrawal of the state from managing the economic sphere and limiting its intervention to that of a regulator, content only with defining the rules of the free game and ensuring their proper respect. Following its transition to a market economy, Algeria was forced to recognize the principle of freedom of trade and industry, granting every person the right to engage in any activity they desire. It also prohibits public authorities from monopolizing commercial activity or intervening to undermine free competition between economic operators(Ouled Rabah, 2001, p. 17).

This principle is relatively recent in Algeria compared to other countries, and it constitutes a legal basis for freedom of competition in the economic sphere. It thus unleashes the freedom of individuals to

engage in investment and commercial activities. It was included in the 1996 Constitution and was upheld on the same basis by the 2016 constitutional amendment.(Rabieha, 2017, p. 23)

In its broadest sense, this principle is similar to what is called "economic freedom." In its narrowest sense, it encompasses freedom of commercial or industrial activity but does not include liberal professions or agricultural activity. The goal of this principle is to prevent public authority from undertaking collective regulation of the economy. Given the connection between freedom of trade and industry and freedom of competition, it is difficult to distinguish between them. However, the latter is broader and includes freedom of trade and industry itself, which is considered a special form of competition in a specific phase of the market economy, namely the phase of economic liberalism.(Ajabi, 2014, p. 267)

It should be noted that the law considers industry and trade to be interdependent, as stipulated in Article 37 of the 1996(Constitution, 1996) Constitutional Amendment, which states: "Freedom of trade and industry is guaranteed and exercised within the framework of the law." Accordingly, the meaning of commerce within the scope of commercial law differs from the common meaning in economics. In the economic sphere, commerce refers to the process of mediation between producer and consumer—that is, the exchange and distribution of wealth without production. This understanding suggests a difference between the production of wealth, which is termed industry, and the circulation of wealth, which is known as "commerce." Within the scope of commercial law, we find that commerce extends to a large part of the industry, particularly the manufacturing industry, which converts raw or semi-manufactured materials into

usable goods. Therefore, the person who engages in this manufacturing is considered a merchant, while the person who extracts raw materials from the earth or natural resources is not considered a merchant. Therefore, commerce is limited to the processes of transferring and trading wealth. Therefore, the word "commerce" has a broad meaning. Hence, commercial law applies simultaneously to both industry and commerce. For this reason, the industrialist, i.e., the factory owner, is considered a merchant and is therefore subject to the same provisions applicable to merchants. The content of the principle of freedom of trade and industry varies depending on the individual:

- **For private individuals:** It is a set of freedoms that vary depending on the economic role of the public authority and includes (freedom of investment, freedom of work, freedom of exploitation and management, freedom of contract, and freedom of competition). However, this freedom has limits related to the public interest and the necessity of maintaining public order, which allows public authorities to intervene in the economic sphere to achieve such goals.

- **For legal entities:** It means that public authorities refrain from engaging in commercial and industrial activities in order to prevent competition with private individuals in their activities, out of respect for the principle of free competition (Ajabi, 2014, p. 268).

Second: The Principle of Free Prices

The principle of free prices means allowing prices to be determined according to the rules of the markets, i.e., supply and demand. When supply exceeds demand, prices decrease, and when supply falls short of demand, prices increase, until a certain level is reached and the price stabilizes. Here, the administration or public authority has no role in setting prices. Furthermore, economic agents are

not entitled to agree on a specific price, otherwise it is considered an anti-competitive practice. Therefore, prices are the driving force behind economic activity and they also reflect the volume of economic transactions for each economic agent, given that price is a variable element across all stages of economic transactions. It changes with the change in the value of the item sold or the service provided. It also changes with the change in the commercial ability to negotiate between economic agents, the degree of which differs from one agent to another. The buyer wants to buy at a lower price and the seller tries to get the highest price and at the same time win the buyer as a permanent customer. This is a common goal among all economic agents, which puts them in a constant race that increases their competitive spirit (Maskin, 2023, p. 317).

This principle is considered the most important principle upon which free competition is based, and the first to be enshrined, under Article 4 of Decree 03/03 on Competition, which states: "Prices of goods and services shall be freely determined based on the rules of competition." It is impossible to speak of free competition in the absence of price freedom, or of a market economy under a regulated price system. In other words, price freedom means allowing pricing to be set according to market rules. As supply increases, prices decrease, and as supply decreases and demand increases, prices rise in the market, without any involvement of the administrative or public authority or individual in regulating and setting prices. (Bouhlais, 2017, p. 43)

Second Requirement: Enshrining the Principle of Free Competition within the Real Estate Market

First Section: Activating the Real Estate Market

First - Defining the Real Estate Market

A market is defined as the sum of goods offered for sale and those demanded for purchase, regardless of whether sellers meet buyers directly or indirectly.

Some define it as a link between supply and demand (the Harrach market), as well as a set of interconnected transactions within a country or a country.

Some define it as how producers attempt to sell their products to consumers, who, in turn, attempt to purchase products to meet their needs. These products, or funds, are funds, or products, regardless of their type. (Labbad, 2008, p. 156)

As for the real estate market, it is defined as a social space where plots of land changing use are transformed—meaning land allocated for various uses. In this case, the real estate market, where various real estate products are sold, is considered a legal market where ownership is transferred. Others define the real estate market as follows: A real estate market is a geographical area or the activity of a group of people connected by a relationship to buy or sell a real estate product, under conditions where the transactions are the same, at the same time, and the same price. Real estate markets also have a very distinct character, dependent on their surroundings and the perceptions and outcomes of the market economy. (Laifa, 2022, p. 33)

Thus, the real estate market, whether built or unbuilt, has become an organized market, similar to the market for ordinary goods or consumer products. It consists of a demand from individuals, known as consumers, and a supply of goods or products, as well as the meeting of this demand and supply. The latter, i.e., goods or products, are, on the one hand, existing or future stores. On the other hand, the land is the land itself, which has become money, subject to the rules of supply and demand, by which the price is determined.

In the real estate field, consumption is called a transaction or marketing. Based on

the above, the real estate market consists of all stores, i.e., built-up properties located within the urban environment, i.e., urban properties, or outside it, and all undeveloped land, i.e., undeveloped land, within the urban environment, i.e., urban properties, or outside it (Labbad, 2008, p. 162).

Second - Types of Real Estate Market

The real estate market is divided into:

- **The built-up land market:**

Limited to developed lands and subject to unchangeable laws.

- **The buildable land market:**

It is more complex and diverse, serving as an intermediary between agricultural and built-up land. It includes owners of agricultural and fallow land, as well as those planning to build, including allocators, real estate developers, and local communities. On the other hand, it is the environment in which real estate disputes and speculation occur.

- **The agricultural land market:**

This is the most common sector in the real estate market, and linked economic concepts can be applied to it. Since the real estate market, like all economic markets, is subject to the law of supply and demand, supply only occurs when real estate players offer vacant properties for residential use, which we will explain. (Laifa, 2022, p. 34)

Section Two: Implementing the Law of Supply and Demand

First - Definition of Supply

Supply is defined as the quantities of a good or service that producers are willing to sell in the market at various borrowed prices during a specific period, assuming other factors remain constant. Accordingly, supply is achieved if producers are willing and able to increase the market with additional quantities of a particular good or service. (Muqdad, 2020, p. 12)

Second: Defining Demand

Demand is defined as the quantities of a particular commodity that can be purchased by a consumer at specific prices and within a specific period. Demand consists of two elements:

- Desire
- Ability

A distinction must be made between two types of built properties for residential use, whether collective or individual, used as a primary or secondary residence, and built properties for commercial use.

In the first case, demand can come from households, i.e., individuals who want to acquire a property for residential purposes. However, demand can also come from other individuals, such as brokers or real estate agents, or from individuals who want to invest in this sector, i.e., purchase the property and then sell it in the future (places). In the second case, it is difficult to determine demand, as it comes from multiple and diverse consumers who employ the property for different uses:

- Use related to multiple activities, such as services provided by businesses to individuals for high-tech activities, and traditional industries.
- Use related to the size of the businesses, such as small and medium-sized businesses, and large global conglomerates.
- Use related to the multiplicity of needs according to the financial resources of the companies concerned, according to the companies with which they deal as clients. (Labbad, 2008, p. 171)

Section Two: Legal Implications of the Application of the Competition Principle

First Requirement: The Necessity of Real Estate Developers to Avoid Anti-Competitive Practices

First Section: Definition of Anti-Competitive Practices.

Anti-competitive practices refer to those practices committed by merchants in

their relationships. They concern practices carried out by one institution toward another that are of a nature to either obstruct, limit, or disrupt free competition in the market, thereby harming all economic activity, competitors, and consumers alike. (Bousguia, 2006, p. 227)

It also refers, as defined in Article 14 of Decree No. 03/03 on Competition, to: Illegal acts and agreements (Article 06); abuse resulting from a dominant or monopolistic position (Article 07); concluding an exclusive distribution monopoly contract; (Article 10) Abuse of a position of dependency (Article 11); selling at a price below cost. (Article 12)

Section Two: Algerian Legislator's Classification of Anti-Competitive Practices.

The Algerian legislator not only enacted substantive legal rules prohibiting anti-competitive practices, considering them practices that undermine the economic public order, to protect free competition in the market. Rather, he established a body to ensure this protection through the implementation of these rules, namely the Competition Council. Article 23 of Decree No. 03-03 on Competition, as amended by Article 9 of Law No. 08-12, stipulates the following:

"An independent administrative authority shall be established, referred to in the text as the 'Competition Council,' which shall enjoy legal personality and financial independence, and shall be placed under the authority of the Minister of Trade."

In addition to the above, the constitutional amendment dated March 6, 2016 (Law No 16-01, 2016), specifically in the last two paragraphs of Article 43, states the following:

"The state guarantees market regulation, and the law protects consumer rights."

"The law prohibits monopoly and unfair competition."

Thus, for the state to regulate the market and protect it from anti-competitive practices through the Competition Council, the Algerian legislator explicitly granted the latter a privileged status as an independent administrative authority. What is the purpose of establishing objective legal rules aimed at prohibiting anti-competitive practices (Qoussem, 2017, p. 10)

1- Prohibiting prohibited agreements that impair free competition, which are divided into:

We noted in the text of Article 6 of Law 03-03 on Competition that: "Practices, deliberate actions, agreements, and explicit or implicit agreements are prohibited when they aim or could aim to obstruct, limit, or disrupt free competition in the same market or a substantial part thereof." (Article 06) We conclude from this article that the legislator has applied the prohibition to all agreements aimed at obstructing or distorting competition, especially if their subject matter or objective is to achieve this, regardless of their form, whether explicit, implicit, written, or unwritten. The prohibition also applies to all horizontal agreements concluded between competing companies for the same product or at various stages of its distribution or marketing, or between companies that are not bound by a competitive relationship, which is a vertical agreement but is linked to different stages, such as the agreement between the producer and supplier, the producer and the merchant, the wholesaler and the retailer, etc.

According to the second paragraph of Article 6, amended and supplemented by the provisions of Article 5 of Law 08-12 amending and supplementing Ordinance 03-03 on Competition, some forms of these practices that may affect the market, prices, and contractual terms are listed. (Sadia, 2024-2025)

1-1 Practices affecting the market:

These include the following:

- Restricting entry into the market or the practice of commercial activities within it.
- Reducing or controlling production, marketing outlets, investments, or technological development.
- Sharing markets or sources of supply.

1-2 Practices or agreements affecting prices:

These include the following:

- Fixing or freezing prices, whereby prices are frozen at their current level to prevent a decrease.
- Price matching or assistance, which involves similarity in prices between economic operators, by reducing or raising the price of a product by implicit agreement.
- Unifying the percentage of discounts or reductions.
- Exchange of information on prices.

1-3 Practices that affect competition in the area of contractual terms:

These are as follows:

- Applying unequal terms for the same services to business partners.
- Concluding contracts with partners to accept additional services unrelated to the subject of these contracts.
- Allowing public contracts to be awarded to those who engage in these restrictive practices.

2- Preventing the abuse of a dominant position:

The size and scale of companies make them powerful and allow them to control the product in the market, given the services they provide in terms of the quality and quantity of their products. This economic power is not prohibited by law. (There is a fundamental difference between dominance as an economic force, which is the control of a certain entity or group of large institutions over a large share of the market, such that it has a large

and strong influence due to the quality of the products it offers. Dominance here is not harmful as long as the rules of sound competition are applied and do not hinder it. As for the abuse of dominance, it is the institution's use of its strong economic position in the market in a way that harms it and its consumers. It is thus in violation of competition laws. Among the most famous practices of this type are lowering prices to harm competitors and imposing monopolistic prices on products.) Rather, it prohibits the abuse of a dominant position in the market, the disruption of free competition, and the exclusion of other competitors. The Algerian legislator, through many of its laws and legislations, prevented this situation, especially if it reached the level of monopoly. The monopoly power of a company means that the company acts freely without taking into account any competitor, consumer, or even distributor. Monopoly power is defined on this basis as "a company or commercial establishment having great power in the market that enables it to control it, through reducing production, increasing prices, eliminating existing competitors, and preventing potential or new competitors from entering this market to increase profits and increase its share in the market (Muhammad Shalabi, 2008, p. 42).

As for the definition of dominance, the Algerian legislator relied in its definition on what was stated in the definitions provided by the French Competition Council and the European judiciary. This definition appears in Article 3, Paragraph 3 of the amended and supplemented Order 03-03 on Competition (Article 03) as: "It is the situation that enables an institution to obtain a position of economic power in the relevant market that is likely to hinder the establishment of effective competition and gives it the possibility of carrying out unilateral actions to a significant extent

about its competitors, customers or suppliers."

2-1 - Definition of Abuse of Dominance:

Although the Algerian legislator did not define abuse of dominance, it did address it in Article 7 of Ordinance 03-03, as amended and supplemented, stating: "Any abuse resulting from a dominant position in the market or a monopoly over it or a part thereof is prohibited." Abuse resulting from a dominant position in the market or a part thereof is often committed by an institution or group of institutions that occupy the market (Mazaiche, 2007-2008, p. 30) and engage in abusive practices.

2-2 Conditions for prohibiting abuse of dominance:

The legislator established a set of criteria by which to measure the dominance or monopoly of an institution or economic agent and its control of the entire demand and all shares therein. For it to be prohibited, it must exist in this market (first) and in a dominant position. The second condition is that the abuse must lead to the prevention and restriction of competition in the market (second). First: The institution's position of dominance.

The location where the economic agent or institution conducts its commercial activity is the market subject to competition. This is the reference market (Al-Mahi, 2003, p. 15), which has two dimensions: the commodity or service dimension and the geographical dimension, in addition to other criteria that also determine the institution's strength and dominance in the market.

1-1 Defining the relevant market: It has two dimensions:

A- The commodity or service dimension of defining the goods:

These are the goods and services subject to practices restricting competition and offered in the market or part of it by the economic agent. Alternative goods and

services are also offered. Article 3 of Order 03-03 defines the reference market as: "The market is all goods or services subject to practices restricting competition, as well as those considered by the consumer to be similar or compensatory, particularly due to their characteristics, prices, intended use, and the geographical area in which the goods and services are offered." (Article 03) From this article, we understand that defining the market is based on the criterion of the interchangeability of goods and services. If a particular good or service is expensive, a customer may dispose of a similar product that serves the same purpose. If the market finds alternative offers, it achieves a balance between supply and demand.

B- The geographical dimension of defining the market:

This involves exploring the geographical areas in which the economic agent engages in production and distribution. This may be limited to a specific region or several regions.

1-2- Other criteria for determining an institution's strength and market dominance:

These criteria can be defined as quantitative and qualitative criteria, namely:

- **Quantitative criteria:** These are determined by market share. Although there is no specific figure to determine this share, they are adjusted based on the assumption that if an institution's share exceeds 80% (Galène, 1988, p. 103) of the market share, a dominant position is assumed. They are determined by market monopoly criteria, as stipulated in Article 5, Paragraph 2 of the aforementioned Order 03-03.

- **Qualitative criteria:** These are criteria adopted by the French Competition Council in its Decision No. 27 Q-90 of September 11, 1990, regarding the establishment "les nouvelles messagerie de

la presse parisienne" (Ben Abdelkader, 2019, p. 39).

When it decided: "To establish the existence of a dominant position in the market, various elements must be taken into account related to the enterprise's significant market share, the shares of its various competitors, and its specific qualitative elements, such as superiority in management, technical innovation, or commercial activity." There are other qualitative criteria, summarized as follows:

- The commercial, financial, or technical advantages enjoyed by the enterprise over its competitors.

- The reputation of the company's commercial product, regardless of its cause.

- The ability of the enterprise to maintain a certain price level.

- The advantages of geographical proximity. (Ben Abdelkader, 2019, p. 39)

Second: The impact of the abusive practice on and restriction of competition.

For a dominant position to be established, there must be a real obstruction that impedes the normal functioning of the market as a result of the influence of the economic supporter used to create this situation. Some scholars have argued that the prohibition must be linked to the existence of a causal relationship between dominance and abuse. (Kato, 2002, p. 48)

Third: Prohibiting Alliances or Economic Blocs

Economic blocs are a term closely associated with competition, particularly from an economic perspective. They are one of the mechanisms used by institutions to control the market. From a legal perspective, if economic blocs aim to harm competition, they are detrimental practices that must be prohibited and subject to prior oversight to prevent their emergence, monopolization, and domination of the market.

A- Definition of Economic Blocs:

Economists define them as an economic phenomenon characterized by the growth in the size of institutions on the one hand and the decline in the number of others. (Hassan Zaki, 2006, p. 254) They are a manifestation of the economic development witnessed by the global economy today. They are constantly on the rise, as institutions combine and transform from small to large. The purpose of these mergers and consolidations is to acquire and expand at the expense of other companies. As for its legal definition, the Algerian legislature did not provide a definition but merely mentioned its forms and instances of consolidation that harm the integrity of competition. These practices are not, in and of themselves, prohibited, and are therefore so if they have negative effects on the relevant market. However, if they are restrictive and their purpose is to develop the national economy, they are acceptable. Anti-competitive consolidations are mentioned in Articles 15, 16, and 17 of the aforementioned Decree 03-03.

B - Forms of Conglomerates or Economic Groupings:

Based on the levels of production and circulation of goods, a grouping is divided into three economic groupings:

1- Horizontal grouping: This occurs when two or more companies operating in the same commercial activity and the same geographical market join together. The purpose of this grouping and merger is to eliminate competition between competing companies. This grouping creates an increase in the company's capital, which increases its monopoly power in the market. (Muhammad Shalabi, 2008, p. 47)

2- Vertical consolidation: This is the merger of one or more companies operating at different stages of production and marketing within the same industry. For example, a company producing a specific product merges with a company

that manufactures a product specifically for packaging a primary product. (Al-Shanaq, 2010, p. 209)

3- Conglomerate consolidation:

This is a combination of projects that do not directly compete with each other, but have different products or operate in different markets. This consolidation results in the diversification of products and services, and the expansion of concentrated projects. (Masoud, 2011-2012, p. 183)

Second Requirement: Applying Abusive Forms of Dominance in the Real Estate Developer's Position in Real Estate Development

The dominance of the real estate market is a phenomenon that can lead to serious imbalances in the principle of free competition, especially when this position is abused by the real estate developer. In the absence of balance in contractual power centers, the real estate developer may resort to arbitrary practices that harm the interests of consumers or competitors. Therefore, laws seek to regulate this situation and limit possible deviations.

Section One: The Concept of Dominance and the Distinction Between It and Economic Power

A dominant position is defined as the ability of an institution or group of institutions to control a market and prevent competitors from entering or remaining in it, without a real alternative in the market. This position is problematic when it becomes a means of obstructing competition or imposing unfair conditions on operators.

A distinction must be made between legitimate economic dominance resulting from technical superiority or efficiency, and the abusive exploitation of that position, which is considered illegal under the law, especially when unfair contractual terms are imposed or the entry of new competitors into the market is hindered.

The Algerian legislator, in Article 6 of Law No. 03-03 on Competition, emphasized the prohibition of any abuse of a dominant position in the market, particularly if it is likely to hinder competition or harm consumers.

Section Two: Abuse of Dominant Positions in Real Estate Development

Abusive practices in the real estate development sector manifest themselves in several practices, the most prominent of which are:

Imposing unfair conditions on consumers: such as imposing unjustified advance payments or unilaterally amending contract terms without the buyer's consent.

Exclusion of competitors: by agreeing with suppliers or other market players not to deal with other developers, or by offering temporary dumping prices to exclude competitors.

Discrimination among customers: Some developers offer privileges to a specific group over others, for reasons unrelated to economic value, but rather to control the market.

These actions are considered forms of abuse prohibited under the Competition Law, given their direct impact on the consumer on the one hand, and on the structure of the real estate market on the other. The Algerian Competition Authority has emphasized the need to monitor the behavior of economic actors, especially in vital sectors such as real estate.

Conclusion:

The application of the principle of free competition to the real estate development market and economic transactions between real estate developers is of paramount importance. This principle works to eliminate all practices that are harmful to competition and hinder the smooth running of the general economic system by prohibiting all practices that would manipulate or disrupt the market balance, especially those related to

violating the rules of supply and demand. Accordingly, the real estate development market must be monitored by imposing rules of free competition. This market has suffered for a long time from price speculation. To liberate the sector from this, real estate developers must be subject to competition law. This is to regulate the market, increase its competitive effectiveness, and provide a healthy competitive environment among real estate developers, governed by legitimate market mechanisms. This includes restricting prohibited agreements and eliminating all practices that harm fair competition by prohibiting actions that lead to the exploitation of a dominant position, monitoring economic concentration processes, and avoiding anything that would disrupt, limit, or prevent competition. Based on this, we have reached a set of proposed conclusions below.

The Algerian legislature must make some amendments to the laws related to economic activity and link these laws together to achieve the interdependence they contain. This should link Law 11-04 with Law 03-03 on Competition, in line with its enshrinement of the principle of free competition, and focus on activating, regulating, and monitoring the real estate development market against the serious violations of some real estate developers.

- Activate the law of supply and demand within the real estate development market and free prices from market fluctuations.

- Amend the Competition Law and include real estate development as a productive economic activity subject to its rules.

- Implement the principle of equal opportunity between economic operators and real estate developers in commercial transactions.

- Reduce taxes and provide state subsidies and assistance to the real estate

development sector to improve its conditions and promote it to other priority productive sectors.

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